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Demystifying the Reserve Bank

How Does the Reserve Bank Make a Difference?

As I've already written, almost the entire first year of my tenure as governor was focused on crisis management—cutting interest rates, pumping in liquidity and stabilizing the markets. Everywhere I went, people seemed to be interested in knowing only one thing: when would I next cut the interest rate? Within weeks, I became quite an expert at giving a standardized, if also a sterile, reply to this FAQ. I also used to joke with my media interlocutors that contrary to my fears, the governor's job was, in fact, quite easy since all it required was cutting interest rates and what's more, the whole country cheered you as you went about the job with abandon!

Then in August 2009 when I was in London for a conference, an interviewer from Reuters asked me: 'You're soon going to complete one year as governor of the RBI. What goals have you set for yourself for your term?' You'd guess, and rightly so, that I was unprepared for this. Any question beyond cutting the interest rate was clearly outside the syllabus, as our students would say, and I was quite flustered. As I thought on my feet, I blurted out something to the effect: 'First, I'd like to position the RBI as a knowledge institution; second, I would want to make the RBI the best practice model among emerging-market central banks for expertise in making policies in a globalizing world; and third, I want to demystify the Reserve Bank.'

The last bit of my reply was playing in my mind through the rest of the day. Why indeed had the need to demystify the Reserve Bank come to me at